Company Sues Over Trump's Taxes on Canadian Goods

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On Tuesday, a **lawsuit** was filed in the U.S. Court of International Trade. It challenges President Donald Trump's **tariffs** on goods from Canada. A tariff is a tax on things brought in from another country.

The Liberty Justice Center, a **nonprofit** group, filed the case for Gellert Global Group, an American company that brings in food from other countries. The **lawsuit** says Trump went beyond his powers by using an old trade law from 1930, called Section 338.

Trump used that law to put a 50% tax on many Canadian goods after trade talks broke down in August. The White House says the law allows this. A Trump **administration** official said the government will **defend** the **tariffs** in court.

Gellert says the trade fight hurts it from both sides. It pays a 50% tariff on Canadian cheese, and Canada taxes the American cheese it sells there. Sara Albrecht of the Liberty Justice Center said shoppers in both countries are affected too.

Word Treasure

lawsuit -- A case asking a court to settle a disagreement.
tariffs -- Taxes on things brought in from another country.
nonprofit -- A group that works for a cause, not to make money.
administration -- The president and the people who run the government with them.
defend -- To argue that something is right and should stay.

Background you need

A tariff is a tax on goods that come from another country, and it can make them cost more.

The United States and Canada are neighbors that buy and sell many things to each other.

Courts can decide whether a president used a law the right way.

Break it down

WHO: The Liberty Justice Center and food company Gellert Global Group
WHAT: A lawsuit against President Trump's tariffs on Canadian goods
WHERE: The U.S. Court of International Trade
WHY: They say Trump went beyond his powers by using a 1930 law

Why it matters

Tariffs can change the prices of foods and other things families buy.

Test what you remember

1. What does the lawsuit challenge?

- (A) Trump's tariffs on goods from Canada
- (B) A new school rule
- (C) A sports game
- (D) A cheese recipe

2. What is a tariff?

- (A) A court
- (B) A kind of cheese
- (C) A tax on things brought in from another country
- (D) A trade show

3. How old is the law Trump used?

- (A) It is from 1776
- (B) It is from 1930
- (C) It is from 2020
- (D) It is brand new

4. How big is the tax on many Canadian goods?

- (A) 50%
- (B) 5%
- (C) 10%
- (D) 100%

5. What kind of company is Gellert Global Group?

- (A) A toy store
- (B) An American company that brings in food
- (C) A car maker
- (D) A Canadian bank

6. What did a Trump administration official say?

- (A) Canada won the case
- (B) The tariffs will end today
- (C) The government will defend the tariffs in court
- (D) The law is new

Answer key (try the quiz first!): 1: A 2: C 3: B 4: A 5: B 6: C

Questions to think about

1. Liberty Justice Center and Gellert: Trump went beyond his powers, and shoppers in both countries are hurt.

2. White House: The law allows the tariffs, and the government will defend them in court.

MY THOUGHTS (at least 20 words):